PART A

(PART A: TO BE REFERRED BY STUDENTS)

Experiment No. 03

A.1 Aim

- To conduct market research and validate the selected business idea by analyzing customer needs and the **5M Framework (Man, Money, Machine, Material, and Methods).**

A.2 Prerequisite

Students should have:

- Basic understanding of entrepreneurship and business opportunity identification.
- Knowledge of market research techniques.
- Familiarity with customer surveys and interviews.
- Basic understanding of business resources and the 5M Framework.

A.3 Outcome

After successful completion of this experiment students will be able to:

- Conduct market research for a selected business idea.
- Identify target customers and understand their needs.
- Validate a business idea using customer feedback.
- Analyze the business resources using the 5M Framework.
- Evaluate the feasibility of a business opportunity before implementation.

A.4 Theory

Market research is the process of collecting and analyzing information about customers, competitors, and market demand before starting a business. It helps entrepreneurs understand whether their product or service satisfies customer needs and has sufficient market potential.

Customer validation is the process of confirming that potential customers are interested in purchasing the proposed product or service. It reduces business risk by ensuring that the business idea addresses real customer problems.

The **5M Framework** is a planning tool used to identify the essential resources required for operating a business successfully.

The five components are:

- **Man** – Human resources required to operate the business.
- **Money** – Capital and financial resources needed for the business.
- **Machine** – Equipment and technology required for production.
- **Material** – Raw materials and supplies required for manufacturing.
- **Methods** – Business processes, production techniques, quality control, and distribution methods.

By combining customer validation with the 5M Framework, entrepreneurs can determine whether their business idea is feasible, sustainable, and ready for implementation.

Case Study (For Reference Only)

Kesar Mango Processing Business

Mr. Ramesh is a mango farmer from **Bidar, Karnataka**, who owns **400 Kesar mango trees**. His farm is located near a **National Highway**, providing excellent transportation connectivity to nearby cities such as **Hyderabad, Gulbarga, and Solapur**.

Every harvesting season, a large quantity of mangoes remains unsold because of overproduction, inadequate storage facilities, transportation delays, and limited buyers.

Instead of selling fresh mangoes, Mr. Ramesh plans to establish a **Kesar Mango Processing Unit** to manufacture value-added products such as:

- Kesar Mango Jam
- Kesar Mango Pulp
- Kesar Mango Jelly
- Kesar Mango Nectar
- Kesar Mango Pickle

Before investing in the business, he conducts market research to validate customer demand and identifies the required resources using the **5M Framework**.

Location Advantage

- Farm located near National Highway.
- Easy transportation to major nearby cities.
- Better access to retail markets and supermarkets.
- Convenient supply to online delivery hubs.
- Kesar mangoes have high market value due to their taste, aroma, and quality.

Customer Validation

Target Customers

- Local households and families
- Retail shops and supermarkets
- Hotels and restaurants
- Bakeries and food service providers
- School and college canteens
- Online customers
- Highway travellers and roadside food outlets

Sample Customer Survey Questions

1. Do you purchase mango-based products such as jam, pulp, or jelly?
2. Do you prefer Kesar mango products because of their taste and aroma?
3. Which factor influences your buying decision the most?
4. Would you purchase locally manufactured Kesar mango products?
5. How frequently do you buy processed fruit products?
6. Would you pay more for natural and preservative-free products?
7. Does the National Highway location make the products more accessible?

Summary of Customer Validation

- Customers prefer natural and hygienic food products.
- Taste and quality are major purchasing factors.
- Customers are willing to buy local brands with good quality.
- Attractive packaging influences purchasing decisions.
- Retailers expect regular supply.
- There is growing demand for preservative-free products.
- The National Highway location supports faster distribution and wider market reach.

5M Resource Analysis

5M	Resource Requirement
Man	Owner, trained workers, marketing personnel, family support, quality control staff
Money	Investment, working capital, machinery cost, marketing expenses, bank loan/NABARD/government schemes
Machine	Mango processing machine, pulping machine, packaging machine, sealing machine, weighing machine, cold storage, transport vehicle
Material	Fresh Kesar mangoes, sugar, citric acid, preservatives, bottles, jars, labels, packaging materials, cleaning supplies
Methods	Sorting, washing, pulping, cooking, quality control, packaging, branding, distribution through highway network, online and offline marketing

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Important Note

The above case study is provided only for reference to understand the concepts of market research, customer validation, and the 5M Framework. Students must perform this experiment using their own selected business idea approved by the course instructor and prepare the customer validation report and 5M analysis accordingly.

Tools / Materials Required

- Notebook
- Pen/Pencil

- Survey Questionnaire
- Interview Sheet
- Observation Sheet
- Internet (Optional)
- Google Forms/MS Forms (Optional)

Procedure

1. Select your business idea.
2. Identify the target customer group.
3. Prepare a questionnaire or interview schedule.
4. Conduct customer interviews or surveys.
5. Record customer preferences, buying behaviour, and expectations.
6. Validate the business idea based on customer feedback.
7. Analyze the required business resources using the 5M Framework.
8. Prepare a Customer Validation Report.
9. Prepare a 5M Resource Analysis table.
10. Conclude whether the business idea is feasible for implementation.

Observation

- Customer validation helps determine actual market demand.
- Customer feedback improves business planning.
- The 5M Framework identifies the essential business resources.
- Market research reduces uncertainty before investment.
- Proper planning increases the possibility of business success.

Expected Outcome

Students will be able to validate their selected business idea through customer research and identify the resources required for successful implementation using the 5M Framework.

PART B

(PART B : TO BE COMPLETED BY STUDENTS)

Roll No.: C-60

Name: Avdhut Parish Madhavi

Class/Batch: SE-C2

Date of Experiment: _____

Date of Submission: _____

Grade: _____

B.1 Observations and Learning

1. Market research helps NAVRO Living understand customer needs and assess demand for balcony gardens, rooftop gardens, kitchen gardens, and garden maintenance services.
2. Customer validation helps determine whether potential customers are interested in purchasing customized gardening services and whether the proposed solutions meet their expectations.
3. The 5M Framework identifies the essential resources required to operate NAVRO Living, including skilled people, financial resources, equipment, gardening materials, and working methods.
4. Customer feedback and competitor analysis help the business improve its service offerings, pricing, garden designs, and customer experience.
5. Proper resource planning and an understanding of market demand help reduce business risks and improve the feasibility and long-term sustainability of NAVRO Living.

B.2 Conclusion

The business idea of NAVRO Living was evaluated through market research, customer validation, and the 5M Framework. The analysis identified potential customers, including apartment residents, homeowners, working professionals, and people interested in gardening and sustainable living. The 5M Framework helped identify the human, financial, technical, material, and operational resources required to start and manage the business. The experiment demonstrates that understanding customer requirements and planning resources effectively are essential for developing a feasible and sustainable entrepreneurial venture.

B.3 Question of Curiosity

Questions

1. Why is market research important for your selected business idea?

   Market research is important because it helps NAVRO Living understand customer requirements, market demand, pricing expectations, and competition. It helps identify which services, such as balcony garden design, rooftop garden installation, kitchen gardens, and maintenance, are most suitable for potential customers. This information supports better business planning and reduces the risk of investing in services with limited demand.

2. Who are the target customers for your business, and how did you identify them?

   The target customers of NAVRO Living include apartment residents, homeowners, working professionals, families, and people interested in gardening and sustainable living. These customers may want green spaces at home but lack the time, knowledge, or planning skills to create and maintain them. Their needs can be identified through customer surveys, personal interviews, online questionnaires, and discussions about their gardening preferences and budgets.

3. What methods did you use to validate your business idea?

   The business idea can be validated through customer surveys, personal interviews, online questionnaires, and discussions with potential customers. These methods help understand customer interest, preferred garden designs, budget expectations, and maintenance requirements. The collected feedback can be analyzed to determine whether NAVRO Living's proposed services address actual customer needs.

4. Explain how customer feedback can improve your product or service.

   Customer feedback helps identify customer preferences, problems, and areas requiring improvement. For NAVRO Living, customers may suggest affordable garden designs, low-maintenance plants, space-saving planters, or convenient maintenance packages. By considering these suggestions, the business can improve service quality, increase customer satisfaction, and build long-term customer relationships.

5. Describe the **5M Framework** and explain its application to your selected business idea.

   The 5M Framework is a business planning tool used to identify the essential resources required to operate a business. It consists of Man, Money, Machine, Material, and Methods.

5M Component	Application to NAVRO Living
Man	Garden designers, gardeners, installation workers, maintenance staff, and marketing personnel.
Money	Initial investment, employee payments, plant purchases, transportation, marketing, tools, and operating expenses.
Machine	Gardening tools, pruning equipment, watering equipment, and tools required for installation and maintenance.
Material	Plants, seeds, pots, planters, soil, compost, fertilizers, and other gardening supplies.
Methods	Customer consultation, garden planning, plant selection, installation, quality checks, maintenance schedules, and marketing.

6. Which of the five resources (**Man, Money, Machine, Material, or Methods**) is most important for your business? Justify your answer.

   Man is the most important resource for NAVRO Living because skilled people are required to understand customer needs, design suitable gardens, select appropriate plants, and perform installation and maintenance. Even with good equipment and quality materials, proper knowledge and workmanship are necessary to deliver satisfactory results. Skilled employees also help maintain service quality and build customer trust.

7. What challenges did you face while conducting market research, and how can they be overcome?

   Potential challenges include collecting responses from enough customers, understanding different budgets, estimating actual demand, and identifying competitors. These challenges can be overcome by conducting surveys among apartment residents and homeowners, interviewing potential customers, comparing existing gardening services, and using online questionnaires. Collecting feedback from different customer groups can provide a clearer understanding of market requirements.

8. Based on your customer validation and 5M analysis, do you think your selected business idea is feasible? Give suitable reasons.

   Yes, NAVRO Living appears to be a feasible business idea because it addresses the needs of people who want green spaces at home but may lack the time or knowledge to create and maintain them. The business can offer customized garden design, installation, plant selection, and maintenance services. The 5M analysis identifies the people, funds, equipment, materials, and methods required to operate the business. However, its actual success will depend on customer demand, investment, pricing, service quality, and competition. Customer validation through actual surveys and interviews would help confirm its market potential.

Result

The selected business idea, NAVRO Living, was evaluated through market research, customer validation, and resource planning. The essential resources were identified using the 5M Framework: Man, Money, Machine, Material, and Methods. The experiment demonstrates that systematic customer research and effective resource planning help determine the feasibility and potential success of an entrepreneurial venture.